

Introduction, The Auditor & The Auditors Environment



Study outcomes

After completion of this study unit you should be able to:

- **Explain the objectives of and the general principles governing an audit of financial statements.**
- **Briefly explain the Fundamental Principles of Auditing Theory;**
- **Briefly discuss the need for the audit profession and the professional bodies available in Zimbabwe;**
- **Explain the standard-setting process in Zimbabwe;**
- **Distinguish between a statutory and non-statutory audit;**
- **Be able to discuss within an integrated case study whether an engagement is an audit, review, agreed upon procedures or compilations, taking into account the level of assurance required by the client and whether this type of assurance is positive or negative.**



Sources

DA – Chapter 1

SAICA Handbook (SH) – Preface to The International Standards on Quality Control, Auditing and Assurance Standards Board

SH – Framework for assurance engagements

SH – ISA200 Overall objectives of the Independent Auditor and the Conduct of Audit in Accordance with International Standards of Auditing

ISA230 Audit documentation



Structure of pronouncements

- Auditing Profession Act
- Companies Act
- King Code on corporate governance
- Constitution and by-laws of ICAZ
- ICAZ & PAAB codes
- International standards (ISA, ISRE, ISAE, ISRS, IAPS, SAPS, ISQC) – prepared by IAASB
- ZSE listing requirements

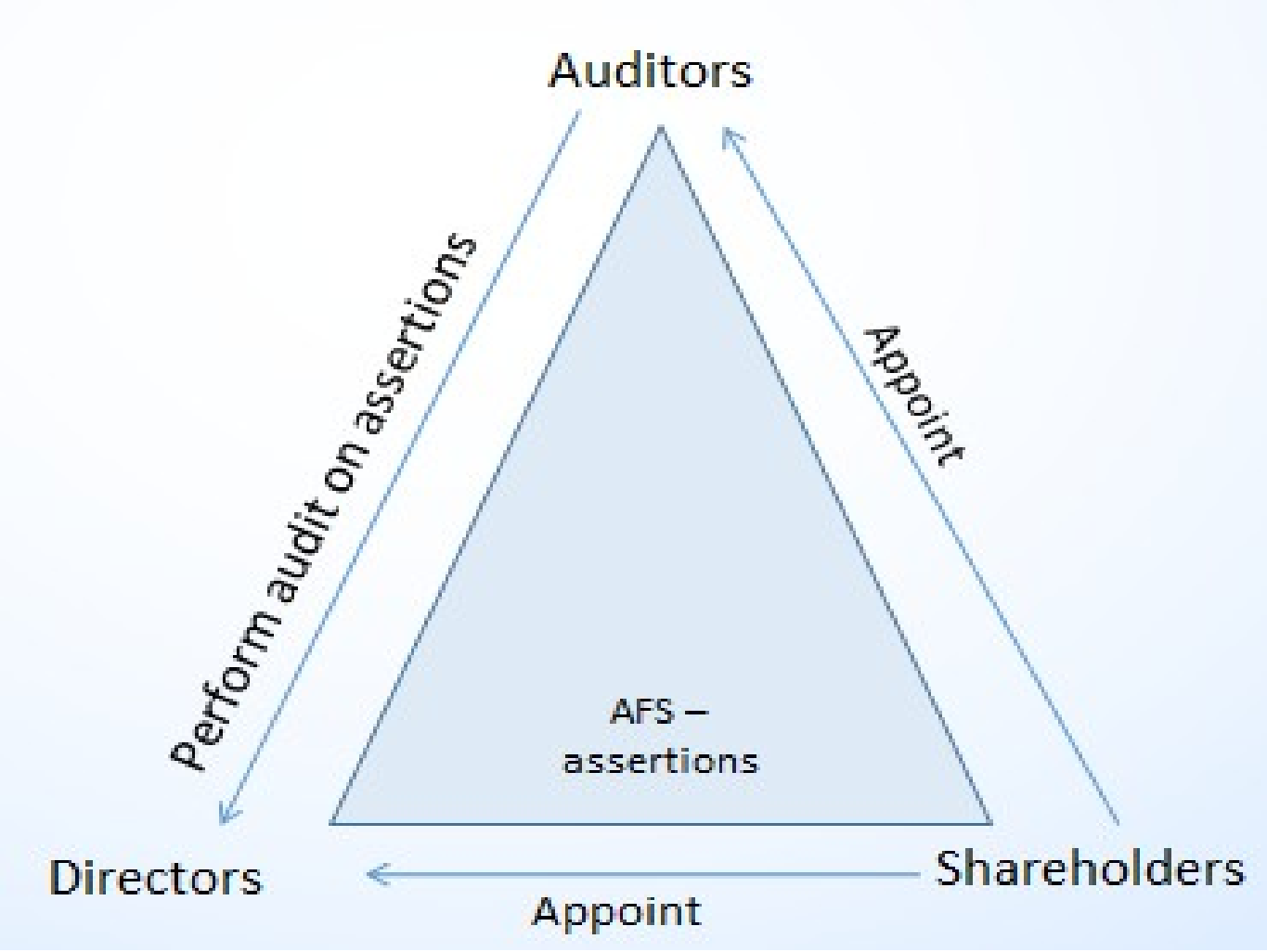


Role of ISAs in audit

- Set the standards for the auditor's work in fulfilling the overall objectives of the auditor
- General responsibilities of the auditor
- Interrelationship between ISA's
- Complying with all relevant ISA's



The need for auditors





The need for auditors

- The FS are used by various stakeholders to make economic decisions
- Management/ directors prepare the financial statements
- The auditor provides assurance (credibility) to the users that the information in the financial statements is reliable



Statutory & Non-statutory

- **Statutory [*mandated by an Act]***
  - **Required to be audited**
  - **Companies Act**
  - **Public Finance Management Act**
  - **Banking Act etc**

  The auditor's duties and responsibilities are statutorily regulated by the relevant Acts

- **Non-Statutory**
  - **Voluntary choose to be audited**
  - **Audit requested by the client although this is not statutorily required**



Statutory & Non-statutory

Point To Note

Irrespective of whether the audit is of a statutory nature or not, it is governed by the Auditory Professions Act.

The auditor must further comply with:

- The IFAC statements af auditing
- The code of conduct of IRBA and the relevant professional bodies.



Types of auditors

- External auditors
  - Perform an external audit i.e provide assurance
  - Independent of the entity
  - Appointed by and report to the shareholders
- Internal auditors
  - Internal management function – employees of the entity
  - Report to management/ the audit committee (objectivity)
  - Provide assurance over the internal process
- Government auditors
  - Internal auditor for government departments
- Forensic auditors – investigate fraud
- Special purpose auditors – specialise in a particular field



Stakeholders/users

- Suppliers
- Creditors
- Employees
- Government
- External auditors
- Customers
- Local communities
- Media
- Regulators
- Potential investors
- Industry at large



Objective of an audit

- to express an opinion as to whether or not
- the financial statements,
- fairly present, in all material aspects,
- the financial position of the entity at a specific date, and
- the results of its operations and
- cash flow information for the period ended on that date,
- in accordance with an identified financial reporting framework and /or other statutory requirements



Objective of an audit - Reasonable

- to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion as to whether the financial statements, are prepared in all material respects, in accordance with an applicable financial reporting framework

Not absolute assurance (100%) because of inherent limitations of an audit:

1. Use of testing
2. Inherent limitations of internal control system
3. Audit evidence is often more persuasive than conclusive
4. Work is subject to judgment of the auditor

These inherent limitations may result in material misstatements not being identified.



Not the objective of auditor

- **Guarantee the future viability of the entity**
- **Guarantee the efficiency or effectiveness which management has conducted the affairs of the entity**
- **Detect fraud and irregularities**

The auditor does NOT express an opinion about the profitability or sustainability of the company, only whether the financial information is reliable.



The auditor's opinion

- The opinion has to be supported by evidence
- The opinion carries weight because of the profession surrounding the auditor:
    - Academic knowledge (CTA, ITC, APC)
    - Professional application of knowledge (Articles)
    - The governing body of the profession (ICAZ, PAAB)

- The users trust the auditors opinion as the auditor is a professional and is independent
- Code of ethics to abide by – 5 principles [to be covered later today]



The auditor’s opinion - recap

– Enhances the credibility of the financial statements

– does not guarantee the future viability of the entity.

– does not guarantee the efficiency or effectiveness with which management has conducted the affairs of the entity



Professional bodies in Zim

- **ICAZ**
  - **CA(Z)'s register with ICAZ once all requirements are met**
  - **Degree, CTA, ICAZ Board exams**
  - **Learnership completed (3-5 years)**

- **PAAB**
  - **RA's register with PAAB**
  - **PAAB examination 18months [still under consideration]**



Assurance engagements

*An "assurance engagement" means an engagement in which a **practitioner** expresses a conclusion designed to enhance the **degree of confidence***

*of the **intended user** (other than the **responsible party**) about the*

*evaluation or measurement of the **subject matter** against the **criteria**.*

For an audit of financial statements (being an assurance engagement):

- *the subject matter will be the financial statements;*
- *the criteria will be the ISAs;*
- *the users will be the shareholders, etc.;*
- *the responsible party (for the financial statements) will be management; and*
- *the audit opinion will be a positive form of expression, providing reasonable (high), but not absolute assurance.*

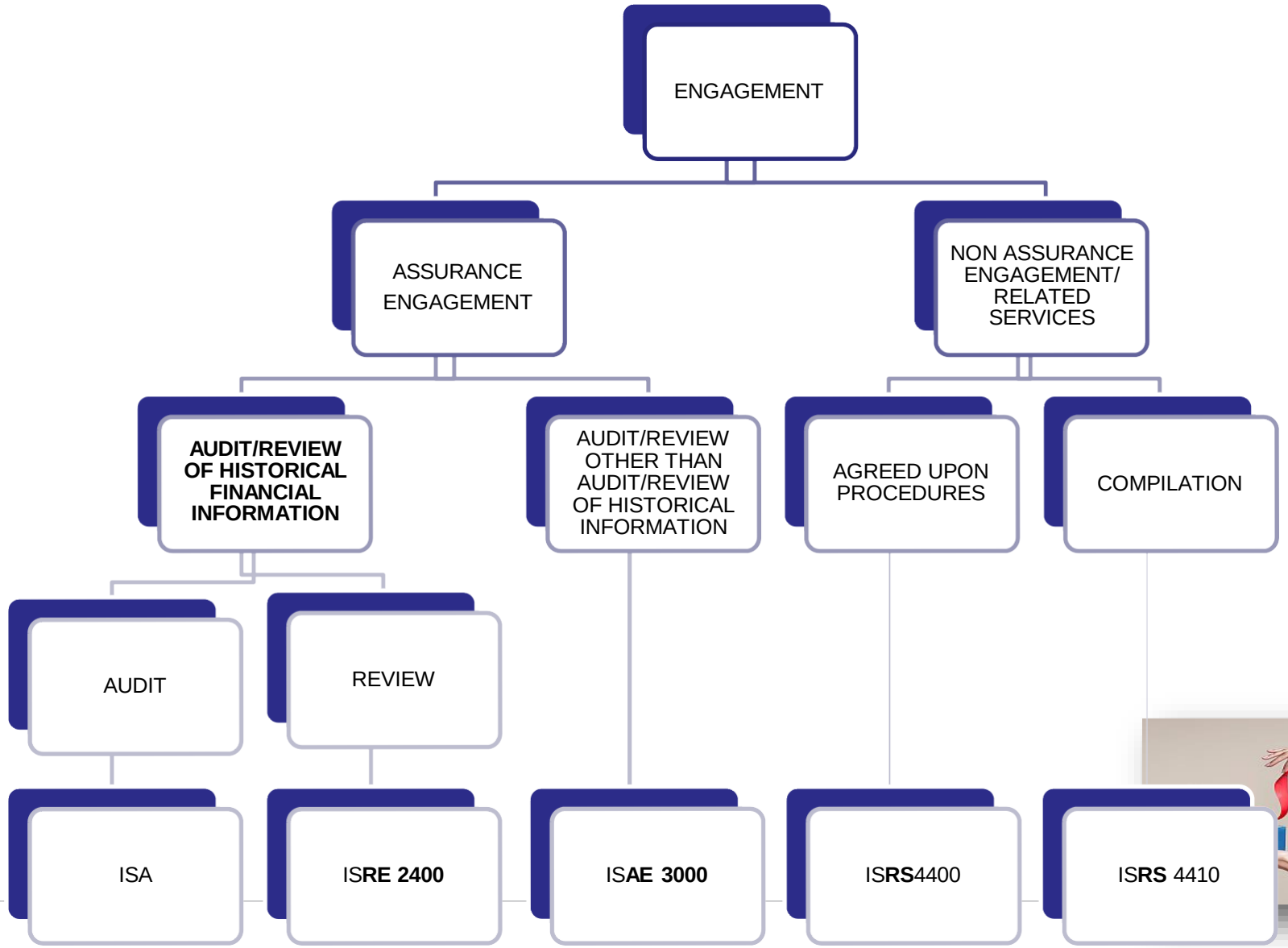


Assurance engagements

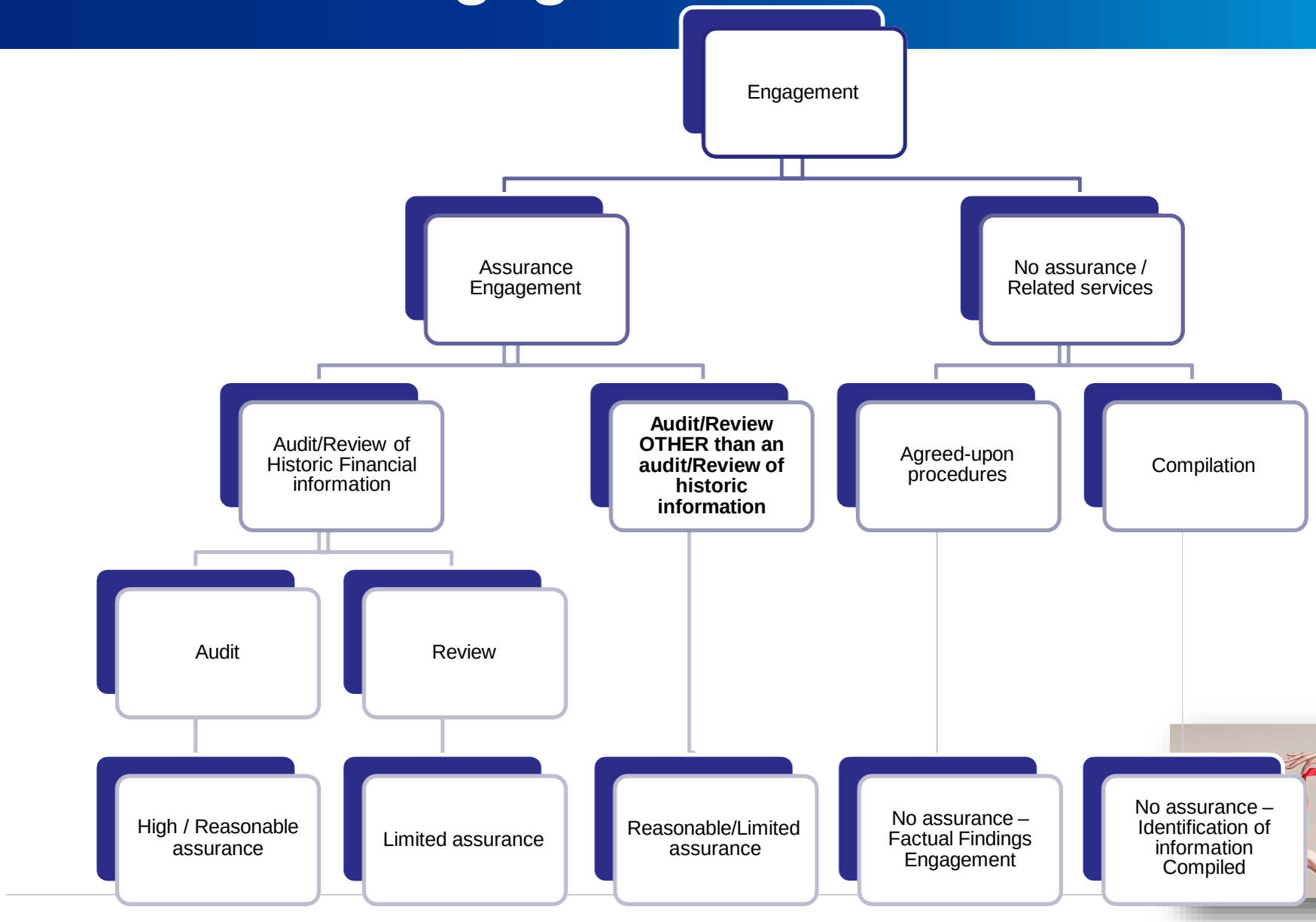
Reasonable Assurance (Conclusion framed +)	•Not 100 % assurance - Audits
Limited Assurance (Conclusion framed -)	• Independent review
No Assurance	• Agreed upon procedures • Compilation engagements



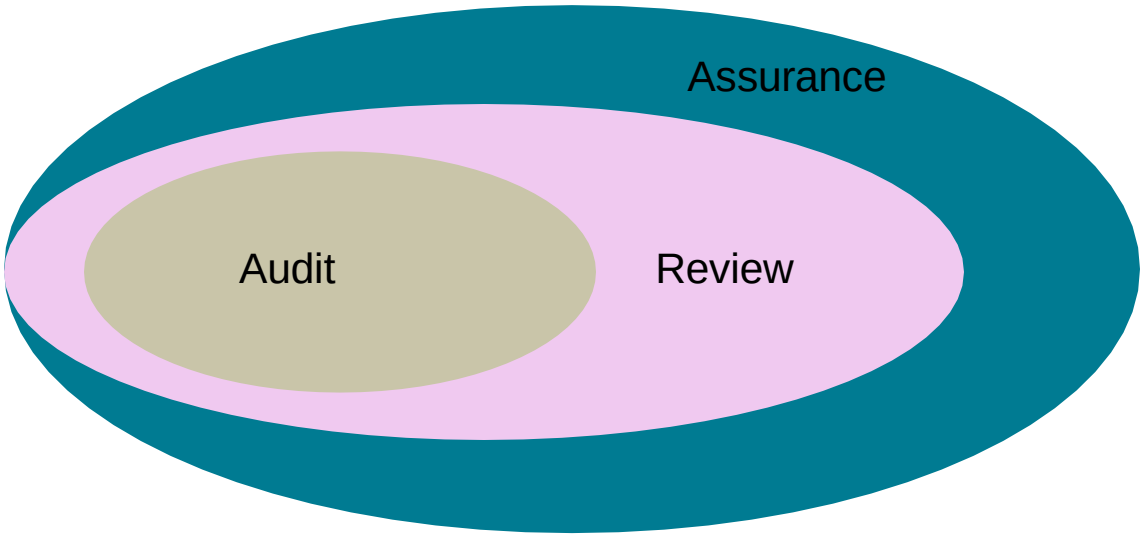
Assurance engagements



Assurance engagements



Levels of assurance





Assurance engagements

Audit (ISA)	Review (ISRE2400)
Reasonable Assurance Engagement	Limited Assurance Engagement
Higher degree of "comfort" van be drawn from the opinion (Higher level)	Lower degree of "comfort" can be drawn from the opinion (Lower level)
Opinion expressed in positive way	Opinion expressed in a negative way
Based on the work we have performed, the financial statements ARE fairly presented	Based on our review, NOTHING has come to our attention that suggests that the AFS of X do NOT present fairly, in all material aspects
MORE PROCEDURES = MORE EXPENSIVE	LESS PROCEDURES = LESS EXPENSIVE
TOC and Substantive procedures	Enquiries and Analytical
SO HOW DO WE KNOW WHEN AN AUDIT IS APPLICABLE AND WHEN A REVIEW IS APPLICABLE?	

Inherent limitations of an audit

- Auditing involves professional judgement/ subjectivity
- The use of sample testing, rather than testing every item
- Inherent limitations of accounting and internal controls systems
- Most audit evidence is considered to be persuasive rather than conclusive
- Nature of audit procedures are not an official investigation of wrongdoing
- Balance of investigation vs cost
- Inherent riskiness of compliance with laws, going concern etc

HENCE REASONABLE ASSURANCE



Assurance engagement

An engagement whereby a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users, other than the responsible party, about the outcome of an evaluation or measurement of a subject matter against criteria

- **Eg recognition, measurement, presentation and disclosure in financial statements (outcome)**
- **Result from applying a financial reporting framework (criteria)**
- **To an entity's financial position, financial performance and cash flows (subject matter)**



Professional Skepticism

“Professional skepticism is an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence”.

The auditor must be alert to, for example:

- **Audit evidence that contradicts other audit evidence**
- **Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence**
- **conditions that may indicate possible fraud**



Professional judgement

- Application of relevant training, knowledge and experience
- Within the context provided by auditing, accounting and ethical standards
- To make informed decisions
- About the courses of action that are appropriate in the circumstances of the audit engagement



Material misstatements

- Misstatements are considered to be material if they could be expected to influence the economic decisions of the users on the basis of the financial statements

- Misstatement is the difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with applicable financial reporting framework



General principles of an audit

1. Comply with the Code of Professional Conduct of IFAC (5 ethical principles):
   - Integrity
   - Objectivity (independence)
   - Confidentiality
   - Professional competence and due care
   - Professional behaviour

2. Audits must be performed to comply with the relevant ISA's (International Standards of Auditing)

3. Maintaining an attitude of professional scepticism during the planning of the audit



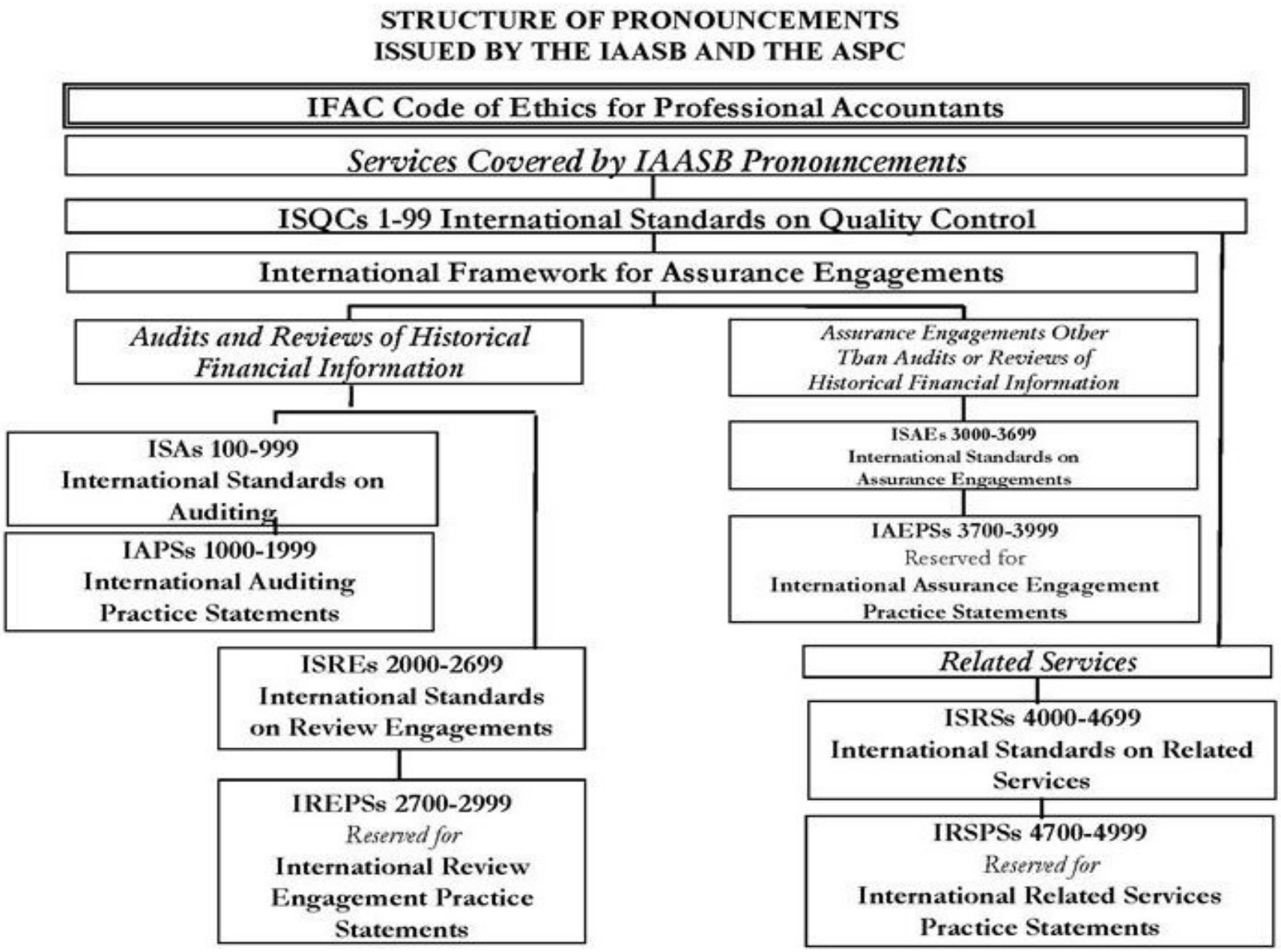
The Audit Profession

- Need for auditors
- Audit profession in Zimbabwe
  - ✓ PAAB
  - ✓ ICAZ

- International Federation of Accountants (IFAC)
  - ✓ 159 Professional bodies in 124 countries
  - ✓ Issuing International Standards on Auditing (ISA's) through IAASB (International Audit and Assurance Standards Board)



The Audit Profession



Types of Companies

- **Public Company Limited**
- **State owned Company - SOC**
- **Private Limited Company**



Auditing postulates

These represent the basic principles on which auditing is based. They are also called the **postulates** of auditing.

TRUTH AND FAIRNESS

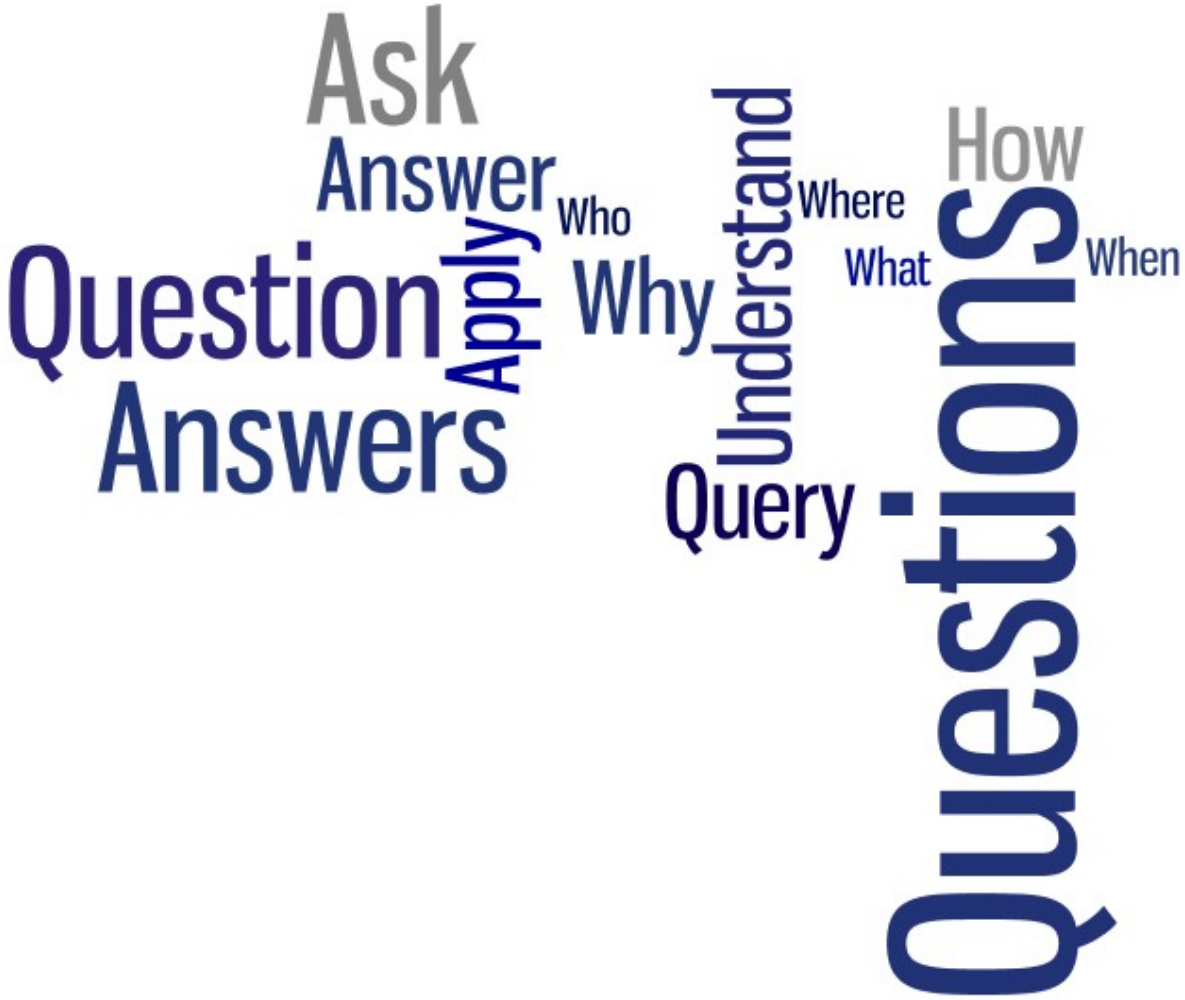
- Financial data is **verifiable**.
- The financial statements and **other** information presented for verification are **free of collusion** and other **irregularities**.
- **Internal controls reduce** the probability of errors and irregularities.
- The **consistent application of** General Accepted Accounting Practice results in fair presentation.
- In the absence of any contrary evidence, that **which held true in the past will hold true in the future**.

Auditing postulates

INDEPENDENCE

- When the auditor is examining financial data with the objective of expressing an independent opinion thereon, he/she acts exclusively in the **capacity of auditor**.
- The professional status of the independent auditor imposes commensurate **professional obligations**.
- **No necessary conflict of interests** exists between the auditor and the management of the entity under audit.

What Questions Do You Have?





RISK MANAGEMENT PROCESS

MANAGEMENTS PERCPECTIVE

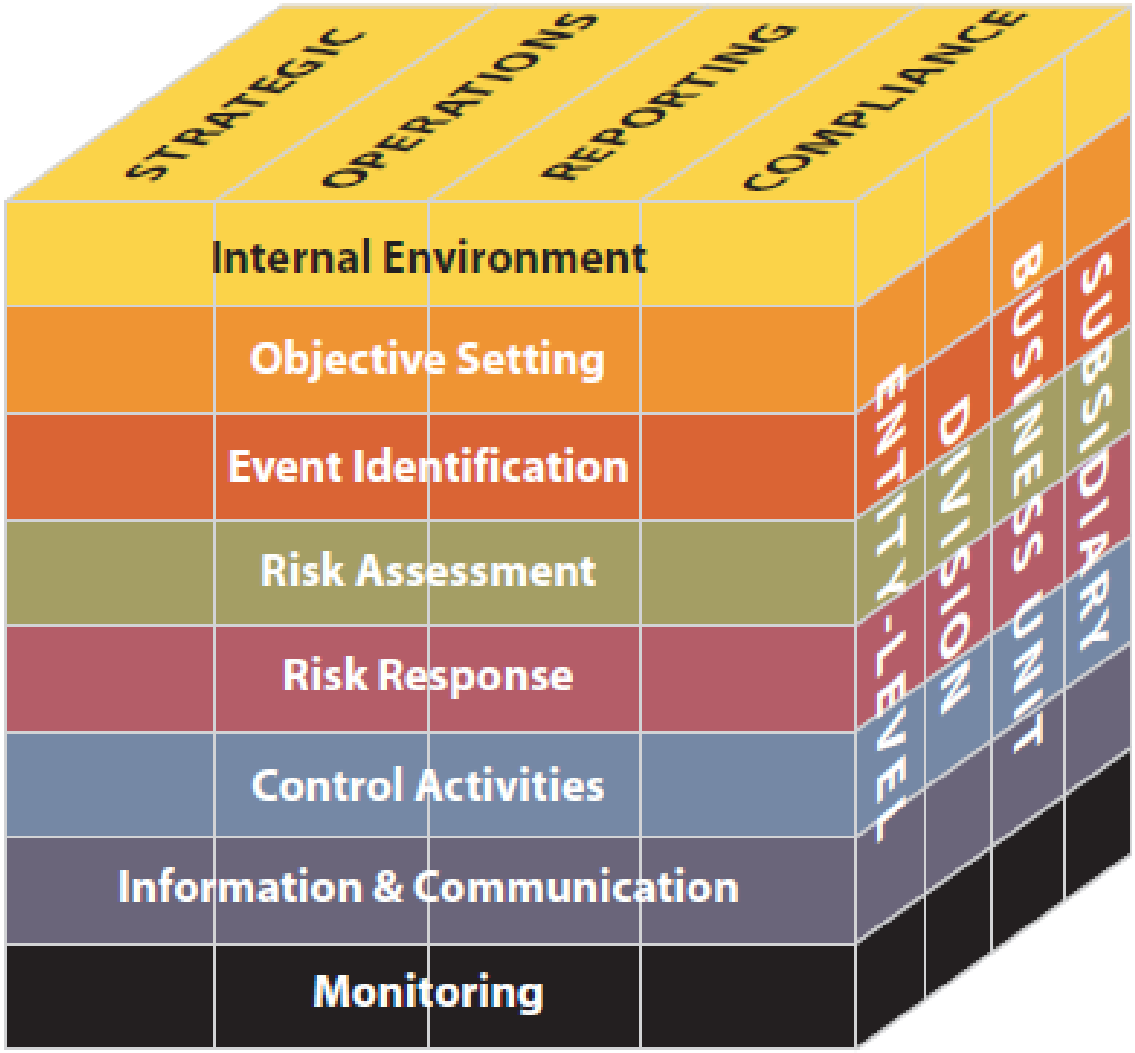
WHAT IS INTERNAL CONTROL?

- **The process designed, implemented and maintained by**
- **those charged with governance, management and other personnel**
- **to provide reasonable assurance about the achievement of an entity's objectives with regard to:**
  - reliability of **financial reporting**, (Reporting objectives)
  - effectiveness and efficiency of **operations**, (Strategic & Operations) and
  - **compliance** with applicable laws and regulations (Compliance).
- **The term "controls" refers to any aspects of one or more of the components of internal control.**

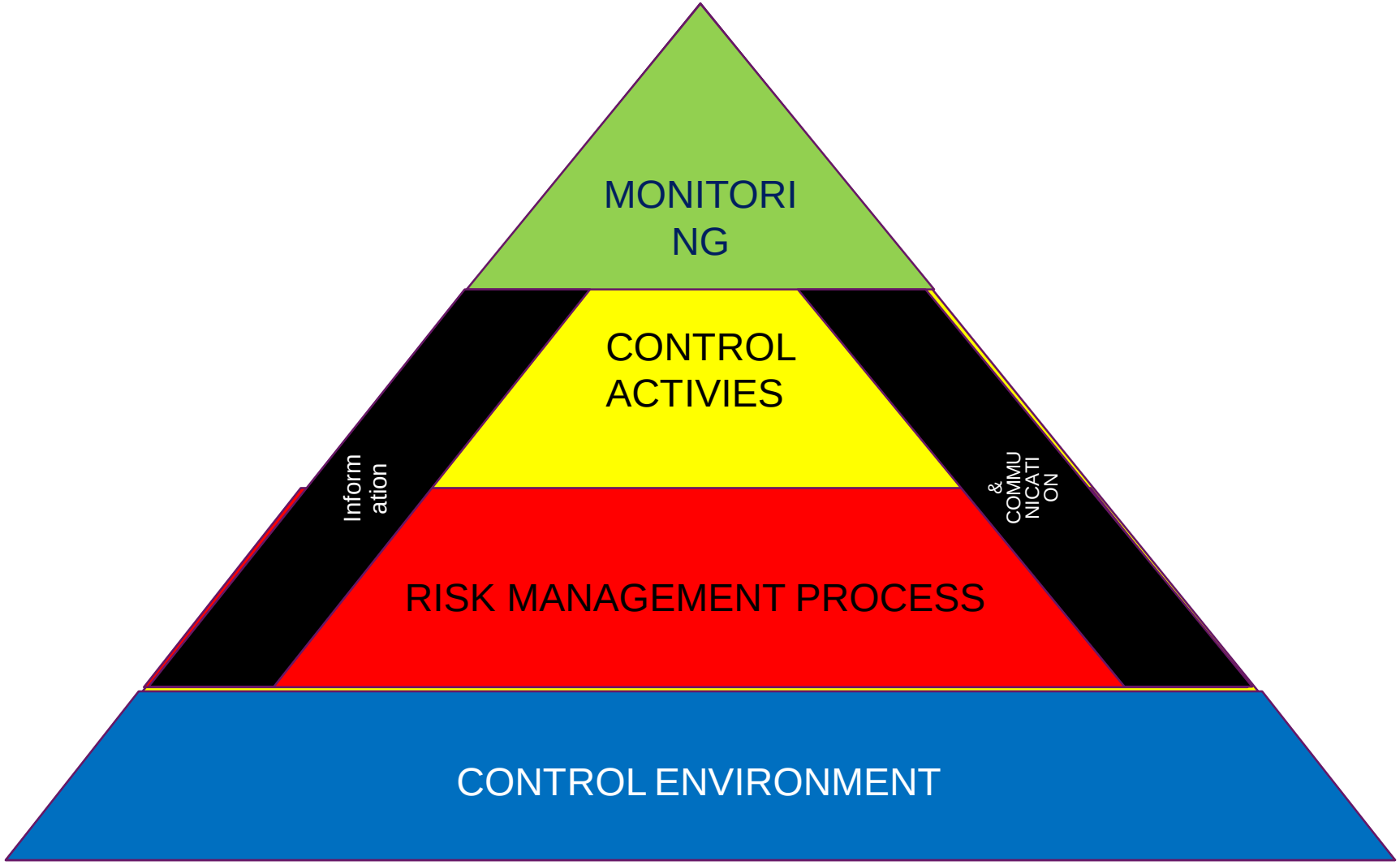
TO ADDRESS THE BUSINESS RISKS THAT THE COMPANY FACES.

Business risk – A risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect an entity's ability to achieve its objectives and execute its strategies, or from the setting of inappropriate objectives and strategies.

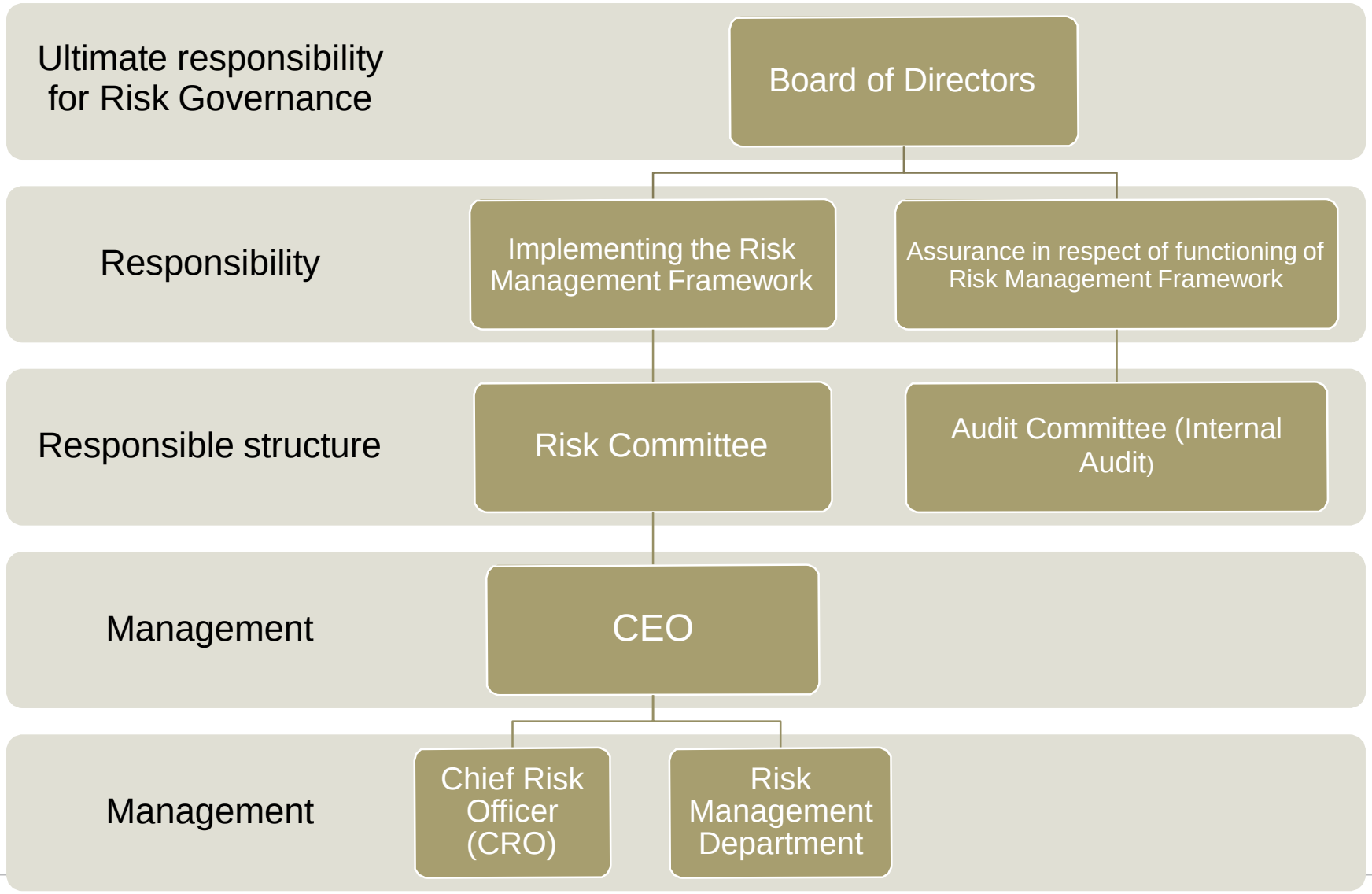
THE RISK MANAGEMENT PROCESS (COSO FRAMEWORK)



COMPONENTS OF INTERNAL CONTROLS



RISK MANAGEMENT PROCESS



RISK MANAGEMENT PROCESS

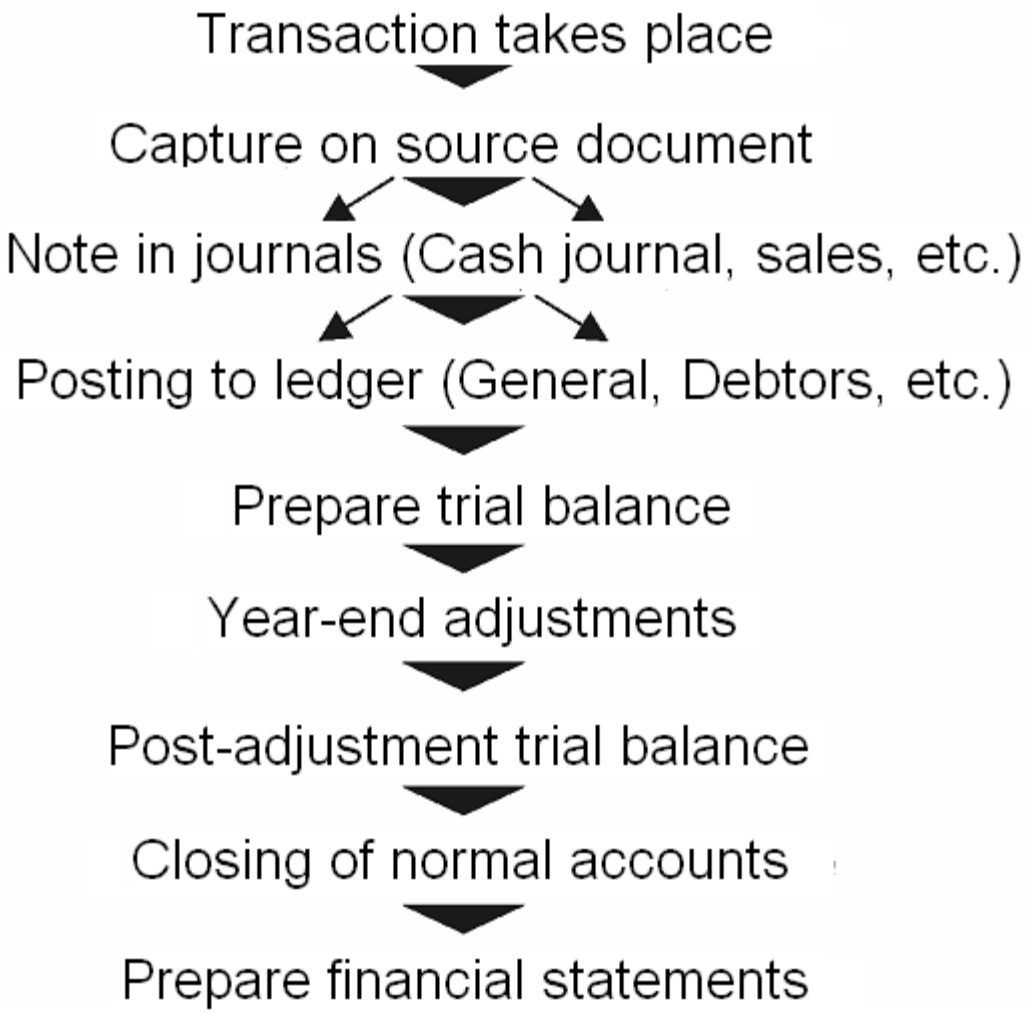
STEPS IN THE RISK MANAGEMENT PROCESS:

1. **Objective setting**
2. **Identify Risks – 3 elements**
3. **Analyze Risks**
4. **Evaluate Risks**
5. **Risk Response**

RMP - Step 1 - Objective Setting

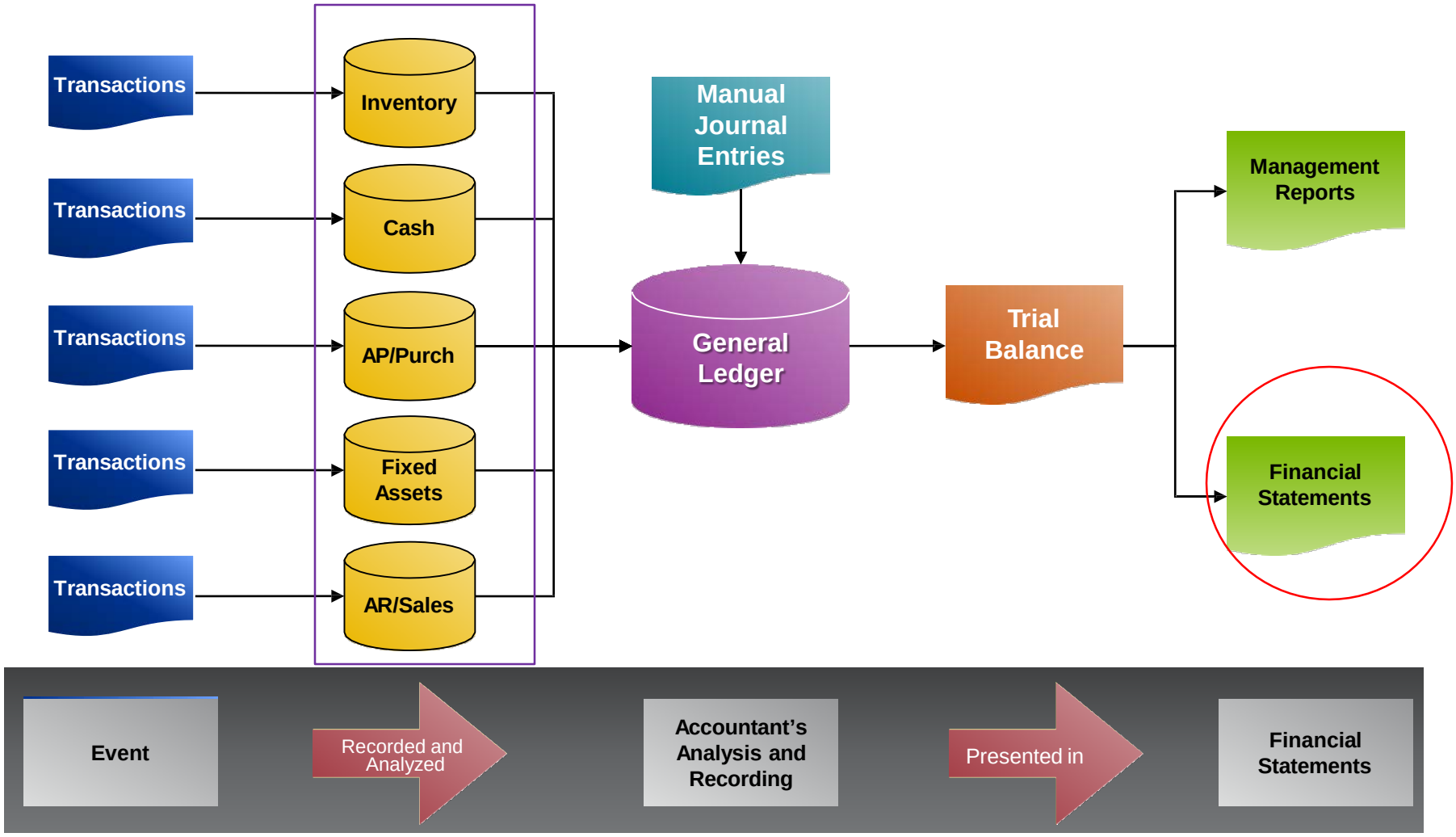
- **Identify the mission and vision of the company**
- **Identify the objectives for the organization as a whole.**
- **Identity the risk tolerance (How much to take)**
- **2 levels**
  - **Strategic** objective setting (annually)
    - General objectives and linked to the mission
  - Related objectives
    - **Operational** objective setting – Performance, profit and safeguarding of assets
    - **Reporting** objectives – Reliable internal and external reporting and can be financial and non-financial.
    - **Compliance** objectives – Laws, rules, regulations. Tax environmental and labour

HOW IS TRANSACTION CAPTURED?



Management wants to ensure that when these transactions are accurate, complete and are authorised and valid (objectives) …..therefore control activities are put into place to address the business risks. CONTROL OBJECTIVES

Flow of Transactions in an Accounting ERP System



RMP Step 2 – Identify Business Risks

- Management identifies potential events that could affect an organization's ability to successfully implement strategy and achieve objectives.
- The outcome of this step is a list of inherent risks threatening a specific objective.
- Inherent risks is the risk without any procedures in place to minimise or eliminate the specific risk.
- Management will have to investigate and determine potential events (hazards, uncertainties and opportunities) the
    - Applicable risk areas (Risk categories – Internal/External),
    - Risks (Things that can go wrong) and
    - Risk factors (cause of the risk)

RMP Step 3 – Analyze of risk

Once risks and risk factors have been identified, an assessment of possible impacts and likelihood of occurrence will be made, to develop a prioritized risk map.

Outcome = list of risks measured ito HIGH, MEDIUM or LOW Impact and/or likelihood.

The evaluation and assessment of risk gives management the opportunity to decrease risk to an acceptable level (risk appetite)

RMP Step 3 – Analyse the risk

IMPACT

The analysis may either be:

- Qualitative – HIGH, MEDIUM, LOW
- Quantitative – 12, 2, 0.3

LIKELIHOOD OF OCCURRENCE

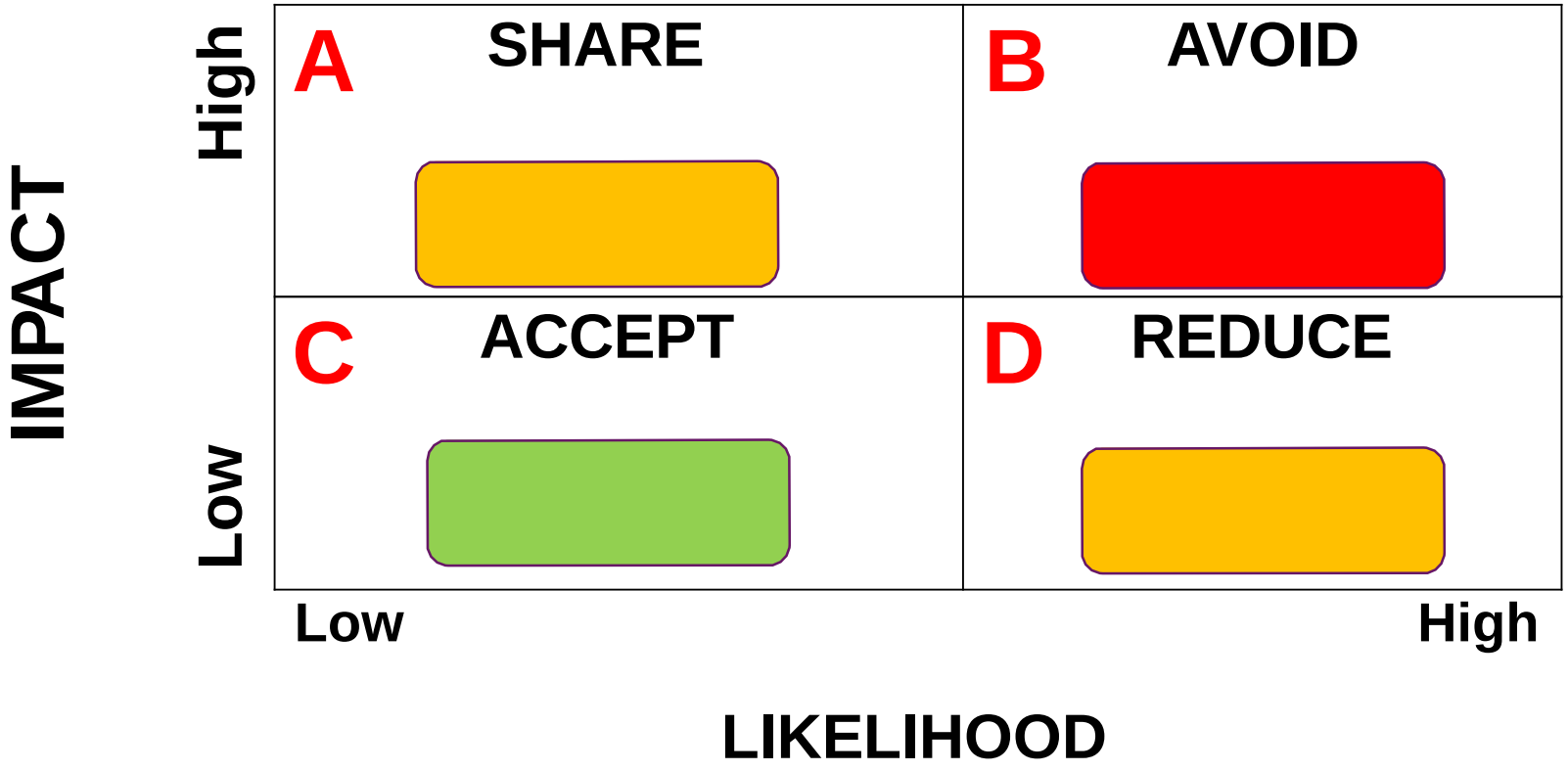
- High – Probable – more than 50% chance
- Medium – Possible – between 10% and 50%
- Low – Remote – Less than 10 % chance of occurrence.

RMP Step 4 – Evaluate Risks

RISK MAPS

Risks should be mapped against the **RISK APPETITE** decided by Management.

Risk MAP / Responses



RMP Step 5 – Risk Response (Treatment of the risk)

- **The final link in the risk management process.**
- **Managements decision on how to manage and control these risks.**
- **Risk responses include:**

  •**Accept** the risk – Taking **no action** to **manage** the risk (Block C – Low and Low)

  accepting risks, recognising that the benefits of doing so outweigh the costs of transfer or mitigation

  •**Share** the risk – Transfer / Share some of the risk with other parties – **Insurance (Likelihood Low, but Impact High)**

  transferring risk to third parties through insurance, hedging, outsourcing, etc.

  •**Reduce** the likelihood/impact – Implementing **controls**

  mitigating risks through preventive and detective control procedures

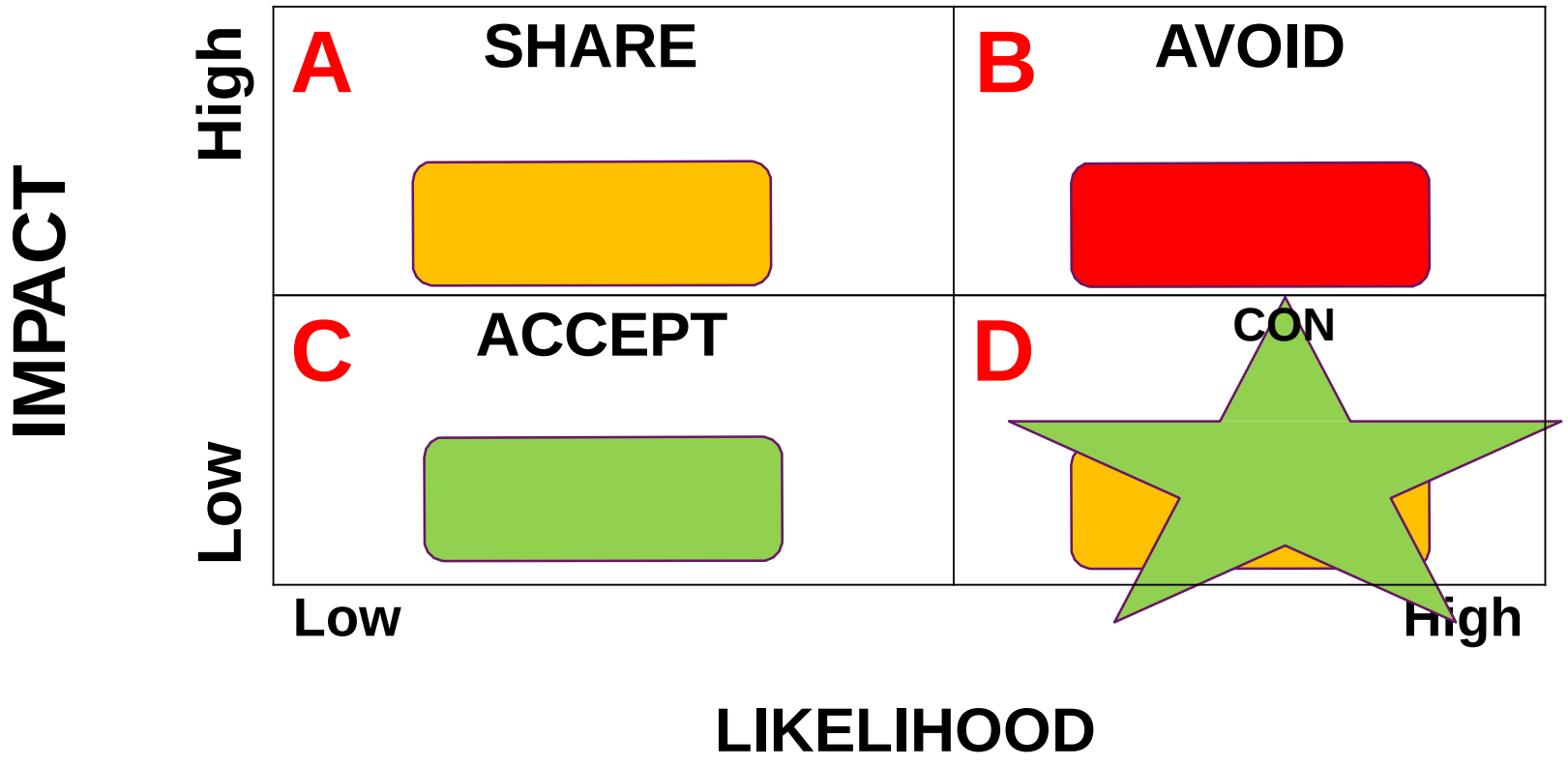
  •**Avoid** – Not taking action

  avoiding risk by choosing not to undertake certain types of activities

RMP RESIDUAL RISK

- **After a procedure has been implemented (INTERNAL CONTROLS) to mitigate the inherent risk, the remainder of the risk is called the residual risk.**
- **If the residual risk is above the risk appetite, further actions are needed to lower the risk.**
- **IR (Inherent risk) – IC (Internal controls) = Residual Risk**

Residual Risk (Must be below Risk appetite)



RMP DOCUMENTATION

Outcomes of the RMP (Risk Management Process) must be documented.

FORMAL RISK REGISTER is kept up to date with risks, assessments, responses etc.

[can we think of a structure of the risk register]

EXAMPLE: RISK REGISTER
QUESTION: Name the RMM

Nr	Risk	IR Fin Impact	IR Likelihood occurenc	Risk response (controls)	Residual risk	Im	Like
1.	Recruiting unsatisfactory / incompetent staff	4	4	Minimum requirements set before advertising	Candidates qualifications and skills not verified.	4	3
2	Appointment not according to law	3	5	Necessary documents	False documentation	1	4
Risk Tolerance = 14 (Impact x likelihood)							

SUMMARY

Risk Management identify risks or problems

Management devise controls which they think will prevent the risk/ problem

The auditors check that the control works

If it doesn't……..?

External audit vs internal audit

- **External audit is a periodic examination of the books of accounts and records of an entity carried out by an independent third party (*the auditor)* to ensure that they have been properly maintained, are accurate & comply with established concepts, principles, accounting standards, legal requirements and give a true and fair view of the financial state of the entity.**
- **Internal auditing is an independent and objective assurance activity designed to add value and improve an organisation's operations.**

Types of audit work

(a) Compliance audit – check the implementation of written rules, regulations and procedures

(b) Transaction audit – involves checking of a sample of transactions against documentary evidence

(c) Risk-based audit – systems audit in which the auditors use their judgement to decide on the level of risk that exists in different areas of the system, and to plan their audit tests so that more effort is directed towards the risky areas

(d) Quality audit – systematic investigation to establish whether quality objectives are being met. Consider standards

(e) Post-completion audit

(f) Value for money audit

(g) Social & environmental audit

(h) Management audit

(i) Systems- based audit



RISK MANAGEMENT PROCESS

AUDITORS PERSPECTIVE

ISA315.15

If a Company has a Risk Management Process in place it is a REQUIREMENT to obtain the understanding of the entity to determine whether the process are functioning. (MUST)

15.The auditor shall obtain an understanding of whether the entity has a process for:

(a) Identifying business risks relevant to financial reporting objectives;

(b) Estimating the significance of the risks;

(c) Assessing the likelihood of their occurrence; and

(d) Deciding about actions to address those risks. (Ref: Para. A87)

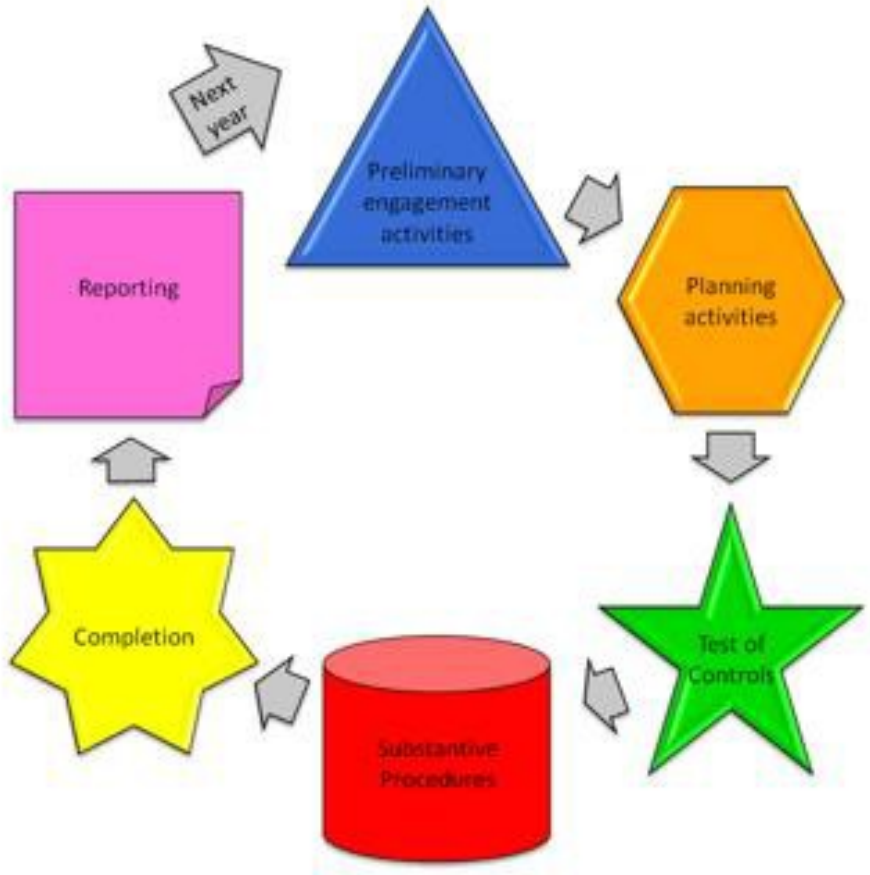


Audit process

Overview of the Audit Process

Companies Act

King IV report



THE AUDIT PROCESS

Code of Professional Conduct

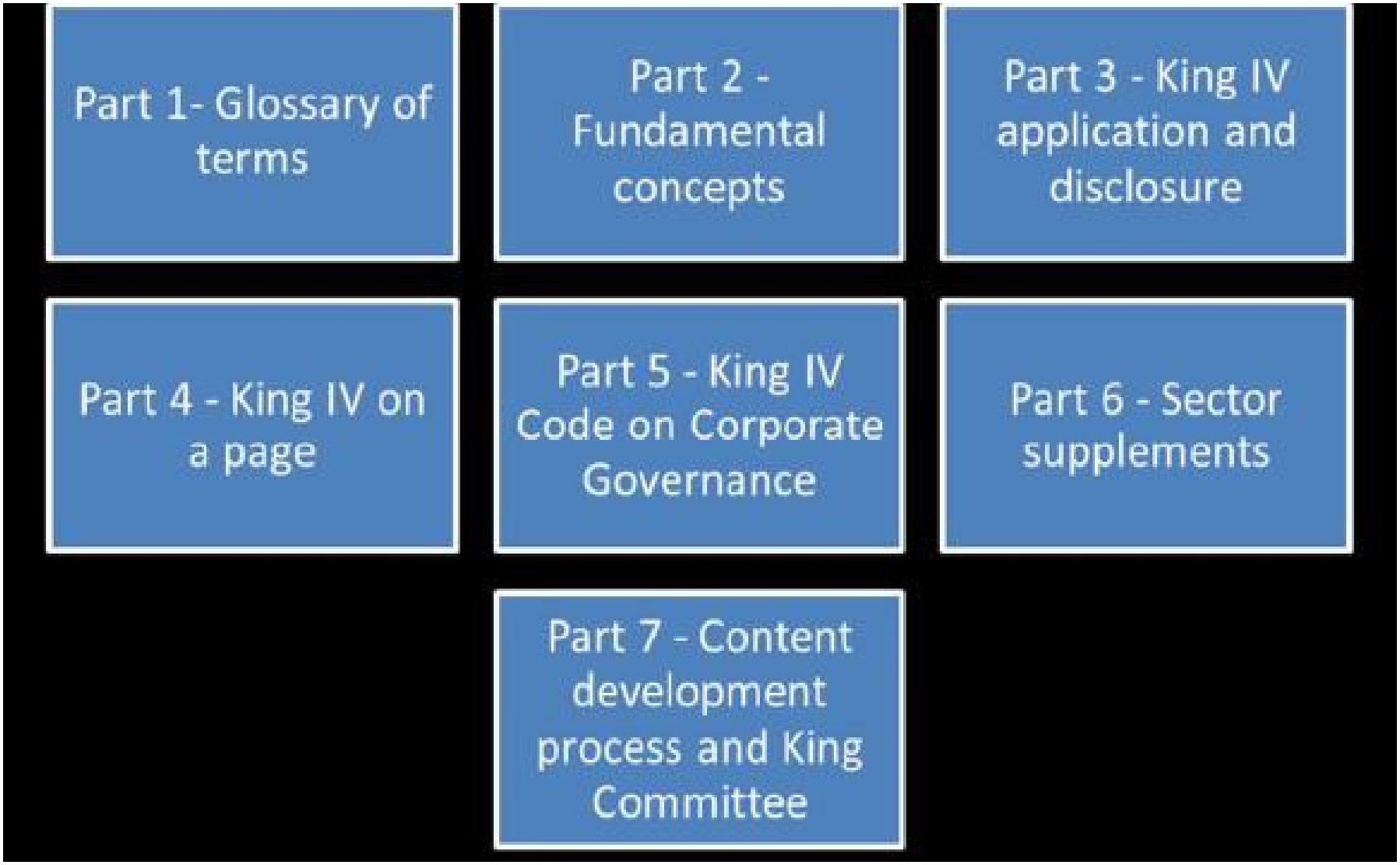
Corporate Governance – King IV



King IV objectives

- **Promote corporate governance as integral to running an organisation (governing body) and delivering governance outcomes such as ethical culture, good performance, effective control and legitimacy.**
- **Broaden the acceptance and application of the King IV Report by making it accessible and fit for implementation across a variety of sectors and organisational types -scalability.**
- **Reinforce corporate governance as a holistic and interrelated set of arrangements to be understood and implemented in an integrated manner.**
- **Encourage transparent and meaningful reporting to stakeholders.**
- **Present corporate governance as concerned with not only structure and process, but also with an ethical consciousness and conduct.**

King IV structure



King IV structure

King IV –Part 1 : Glossary of terms

- **Know and understand the terms to give context to the reading of the King IV Report.**

King IV – Part 2: Fundamental Concepts

- **Definition of Corporate Governance**
  - **Ethical Culture**
  - **Good performance**
  - **Effective Control**
  - **Legitimacy**

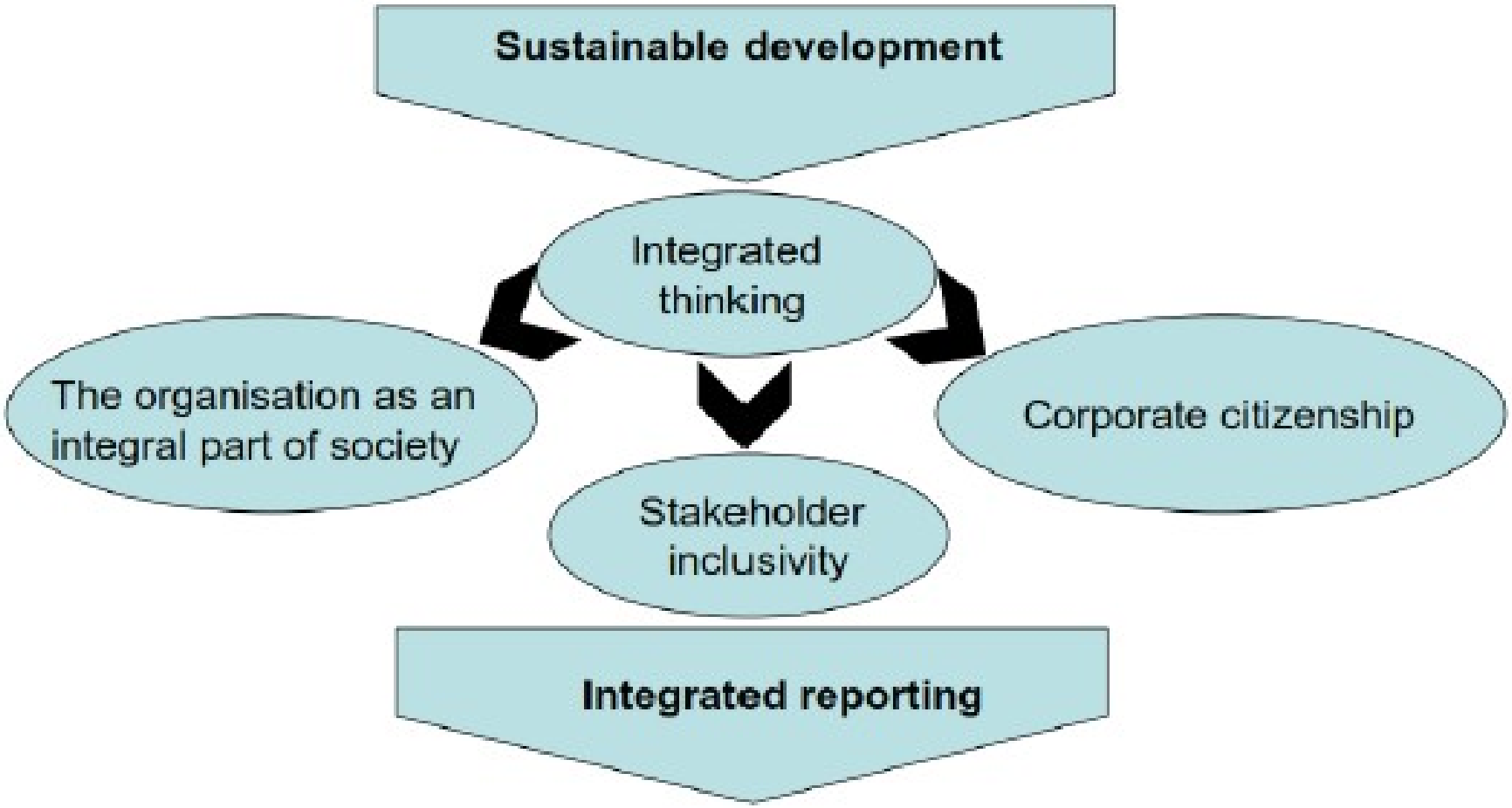
King IV structure

King IV – Part 2: Fundamental Concepts

- **Ethical and effective leadership should compliment and reinforce each other. Ethical leadership exemplified by:**
  - **Integrity;**
  - **Competence**
  - **Responsibility;**
  - **Accountability;**
  - **Fairness; and**
  - **Transparency.**
- **Effective leadership is results driven and is about achieving strategic objectives and positive outcomes.**
  - **Includes, but goes beyond an internal focus on effective and efficient execution.**

King IV – Part 2: Fundamental Concepts

- Underpinning philosophies of King IV:



King IV – Part 2: Fundamental Concepts

Highlights of the King IV Code:

Integrated reporting;

Balance composition of governing bodies and independence;

Delegation to management;

Delegation to committees;

Corporate governance services to the governing body;

Performance evaluations of the governing body; Social and ethics committee;

Risk and opportunity;

Part 3, Part 4, Part 5

Common Student Pitfalls

Required	Examiner's Expectations	Common Pitfalls
Identify and describe any corporate governance weaknesses with reference to the information provided. Base your discussion on the requirements of King IV code on corporate governance.	• Identify information from the scenario which provides evidence of non-compliance with King IV – **trigger** • Explain which King IV principle was contravened based on the evidence from the trigger above	• Some students show a lack of understanding of king IV requirements as evidenced by their failure to pick concerns especially around the governance of risk. • Sentence construction from some students was quite poor as evidence by the length of sentences in the solutions.

Common Student Pitfalls

Required	Examiner's Expectations	Common Pitfalls
Identify and discuss concerns with regards the governance structures at with reference to the requirements in King IV code on corporate governance.	▪ Identification and discussion of concerns with regards the governance structures as indicated in the scenario with reference to the requirements in King IV code on corporate governance.	▪ Some students waste time quoting king 4, without clearly stating the concerns. ▪ ▪ Some students failed to identify the need for of at least 1 additional exec ▪ ▪ Some students stated that the chair should not be a member of the remuneration committee ▪ ▪ Students stated that board evaluation should be done annually instead of every 2 years

Companies Act (Chapter 23:04)

Memorandum of incorporation (Sec 7 – 16)

The memo shall state whether the company is a Public limited company or a private limited company.

The share capital should be divided into shares of a fixed amount (nominal value)

Membership of company (sec 30 – 32)

A body corporate cannot be a member of a company which is its holding company and any allotment or transfer of shares in a company to its subsidiary shall be void.

Private companies (sec 33 – 34)

Sect 33: Definition of a private company (means a company other than a cooperative company)

AUDIT PROCESS

ENGAGEMENT ACTIVITIES

PLANNING

- OVERALL
- ASSERTION LEVEL

DETAILED TESTING – OBTAINING AUDIT EVIDENCE

FINALISING: EVALUATING, CONCLUDING & REPORTING

AUDITPROCESS

Engagement Activities

- **Client** investigation for new and existing clients
- Determine skills and competence requirements (**Auditor**)
- Determine the terms of the engagement via the engagement letter

PLANNING – OVERALL

- **Understand the entity and its environment**
- Obtain understanding of the entity's **internal controls** (plus IT)
- ID and assess the RMM at the **overall fS level**
- Set Materiality
- ID significant accounts to audit in detail at ASSERTION level.
- OVERALL **AUDIT STRATEGY** – Formulate, Risk Response and Organizational, admin and coordination of the audit.

AUDITPROCESS

PLANNING – ASSERTION LEVEL

- **FOR INDIVIDUAL MATERIAL ACCOUNTS**
  - ID RISK,
  - ID KEY CONTROL FOR ASSERTIONS,
  - DETAILED AUDITSTRATEGY (AUDITPLAN, RISK RESPONSE AND ORG ISSUES.)
- **FOR NON-SIGNIFICANT ACCOUNT** – Verify thru substantive analytical review procedures.

DETAILED TESTING

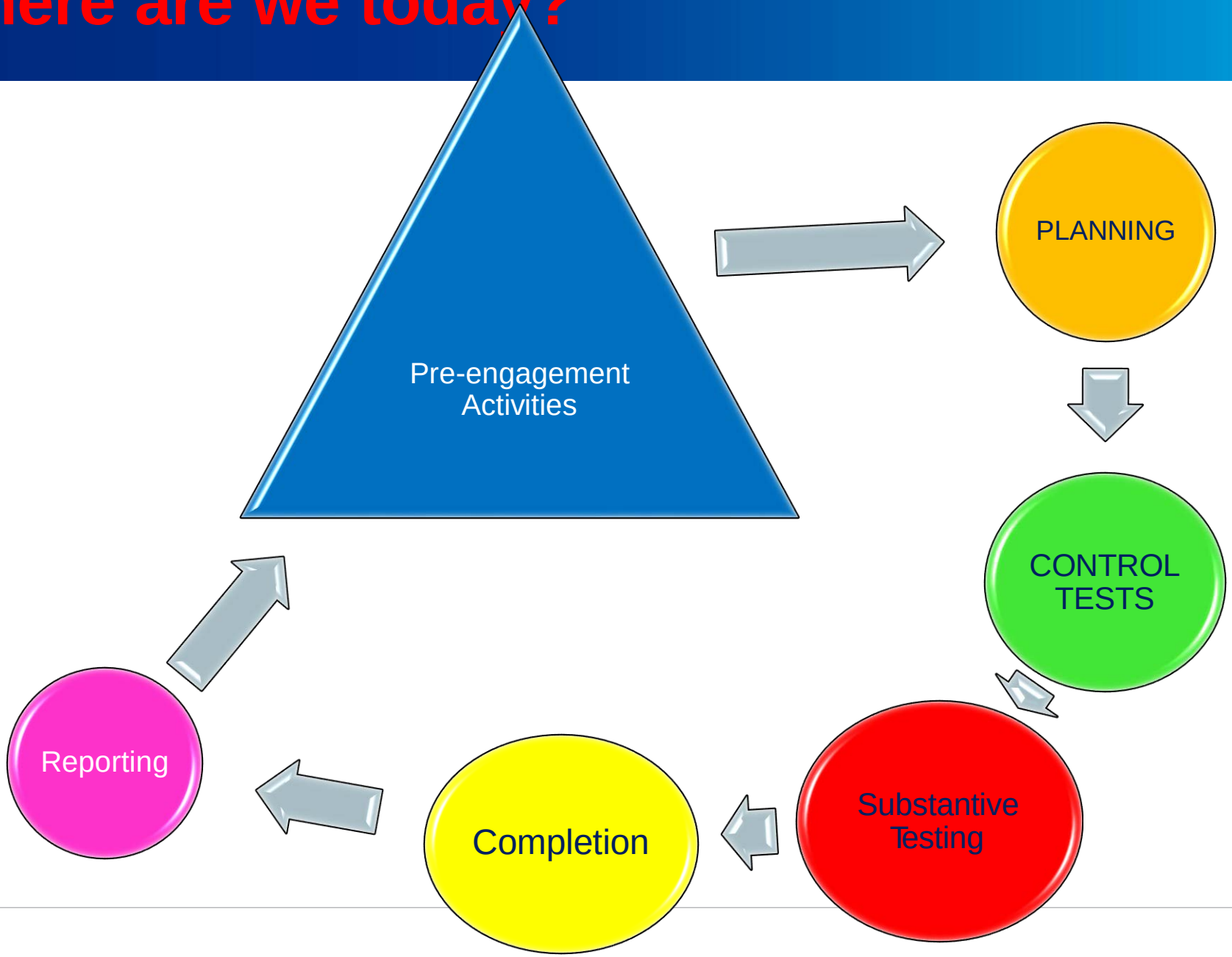
- TEST OF CONTROLS
- SUBSTANTIVE PROCEDURES
  - DETAILED
  - ANALYTICAL

AUDITPROCESS

COMPLETION:

- General **Review** of fin information, and evaluation of audit evidence obtained
- **Conclude** and formulate a audit opinion.
- **Reporting**

Where are we today?



Preliminary engagement activities

Learning outcomes

- **Explain the matters that the auditor should consider when deciding whether to accept a new client or continue performing audit service for an existing client;**
- **Evaluate the audit work performed when accepting new clients by referring to ISQC 1, ISA 220,ISA 300 and the CPC;**
- **Describe the audit procedures that need to be performed when a new auditor is appointed;**
- **Understand the purpose of an engagement letter;**
- **Understand the role of an engagement letter in limiting the auditors liability.**

PRE ENGAGEMENT ACTIVITIES

Procedures to perform in order to:

- Evaluate a **NEW** Client **OR**
- Evaluate a **EXISTING** Client

Why?

- What is the Risk?

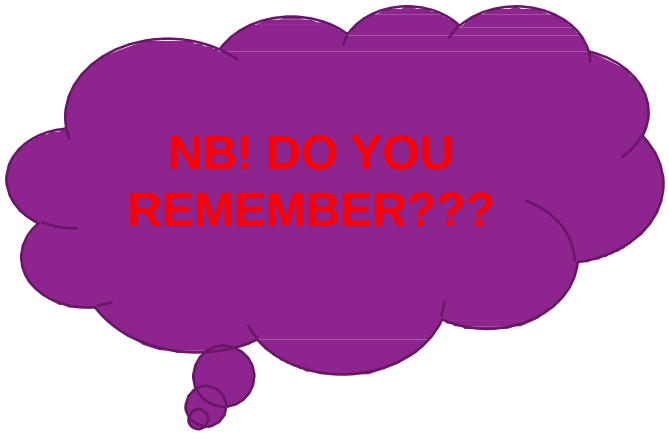
HOW DO WE OBTAIN THE INFORMATION NECESSARY TO PERFORM A PRE ENGAGEMENT ACTIVITY?????

AEIO (The Vowels) – Risk Assessment Procedures

- **A**nalytical Procedures (Ratio's)
- **E**nquiry
- **I**nspection
- **O**bservation

AUDIT PROCEDURES CONSISTS OF THE FOLLOWING:

1. RISK ASSESSMENT PROCEDURES
2. CONTROL TESTS
3. SUBSTANTIVE TESTS
    a) Substantive test of DETAIL
        – Detail tests of transactions
        – Detail tests of balances
    b) Analytical SUBSTANTIVE procedures



PRE ENGAGEMENT ARE GUIDED BY THE FOLLOWING STANDARDS / LEGISLATION

- **ISA300 (Links back to ISA220 and then ISQC1)**
- **COPC**
- **Companies Act**
- **General Business Principles (Practice Risk and Reputational Risk)**

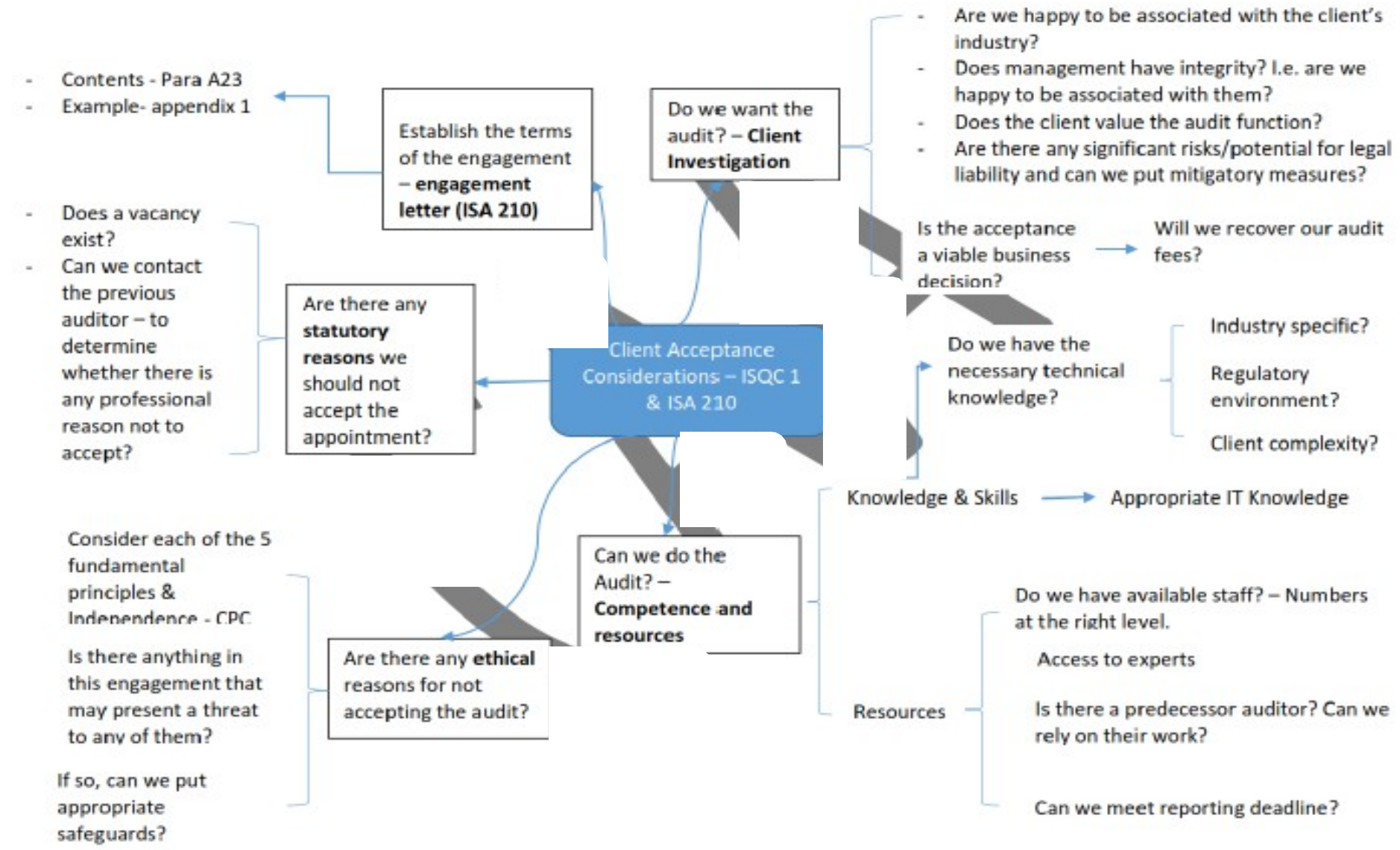
BEFORE WE CAN DO PRE-ENGAGEMENT ACTIVITIES

- **What type of engagement is applicable**
- **All 5 elements of an Assurance engagement is actually present (Framework for Assurance Engagement Paragraph 26 – SAICA Handbook Book 2B)**

  - Three Party Relationship (User, Practitioner and Responsible party)
  - An appropriate Subject Matter (AFS)
  - Suitable Criteria (IFRS / IFRS for SME's)
  - Sufficient Appropriate Evidence
  - Written Assurance Report (Audit Report)

- **When you are happy that it is actually an audit we move on to the steps of pre-engagement activities for audit engagement using the ISA's as our guide.**
- ***If the Engagement is a Review, Audit were the subject matter is anything else other that AFS, Compilation or a Agreed Upon Procedure we use the guidance in ISRE2400, ISAE300, ISRS4400 and ISRS4410*.**

Preliminary engagement activities



Quality Control (ISQC 1 & ISA 220)

Learning outcomes

- **Being aware of the legislation, requirements and need for policies and procedures to assure audit quality control;**
- **Explaining, discussing and applying the elements of quality control relevant to the firm as well as the individual audit engagements;**

Why is there need for a system quality control?

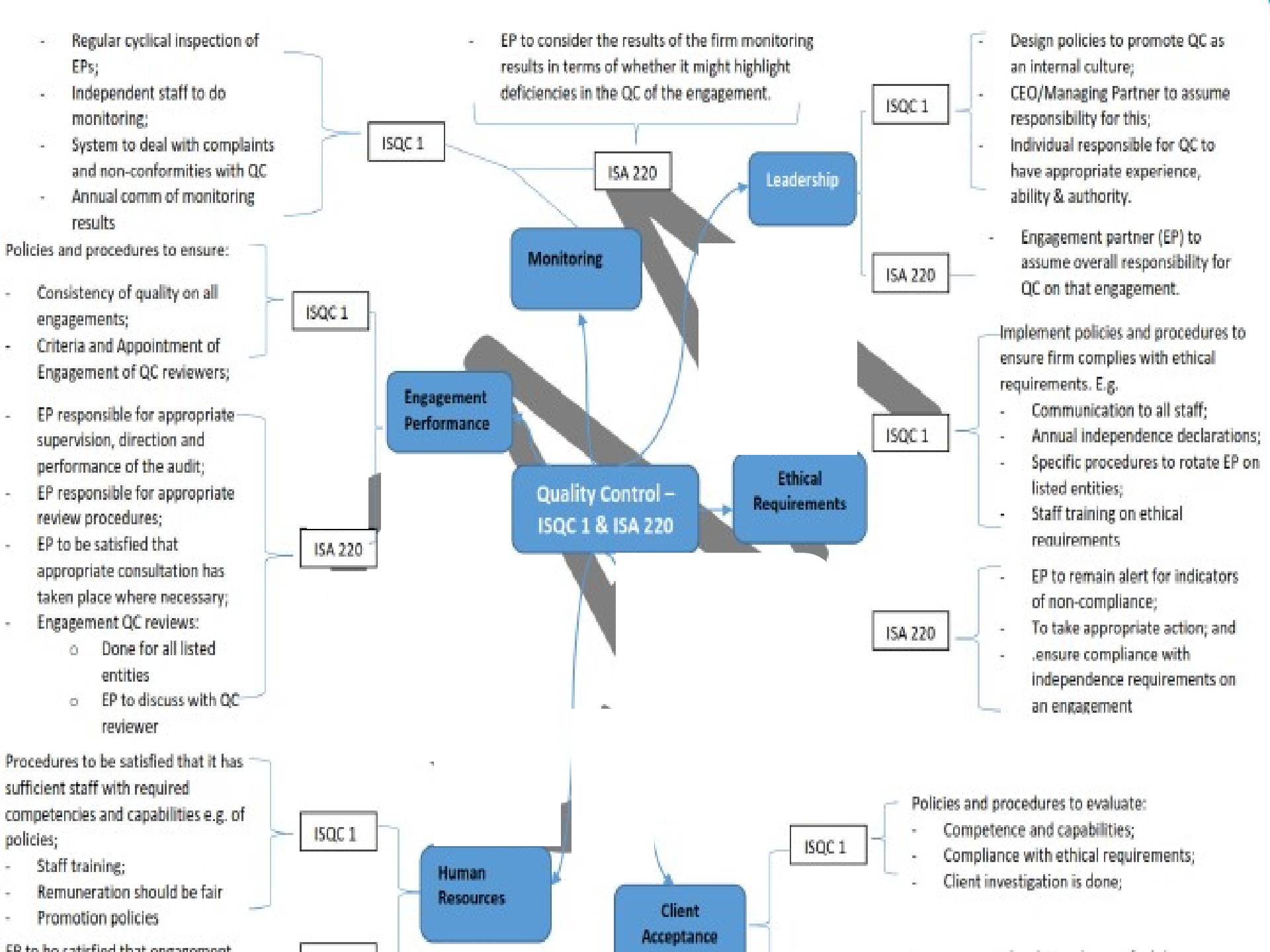
–To ensure that the firm and its personnel comply with professional standards and applicable legal and regulatory requirements and;

–Reports issued by the firm or engagement partners are appropriate in the circumstances.

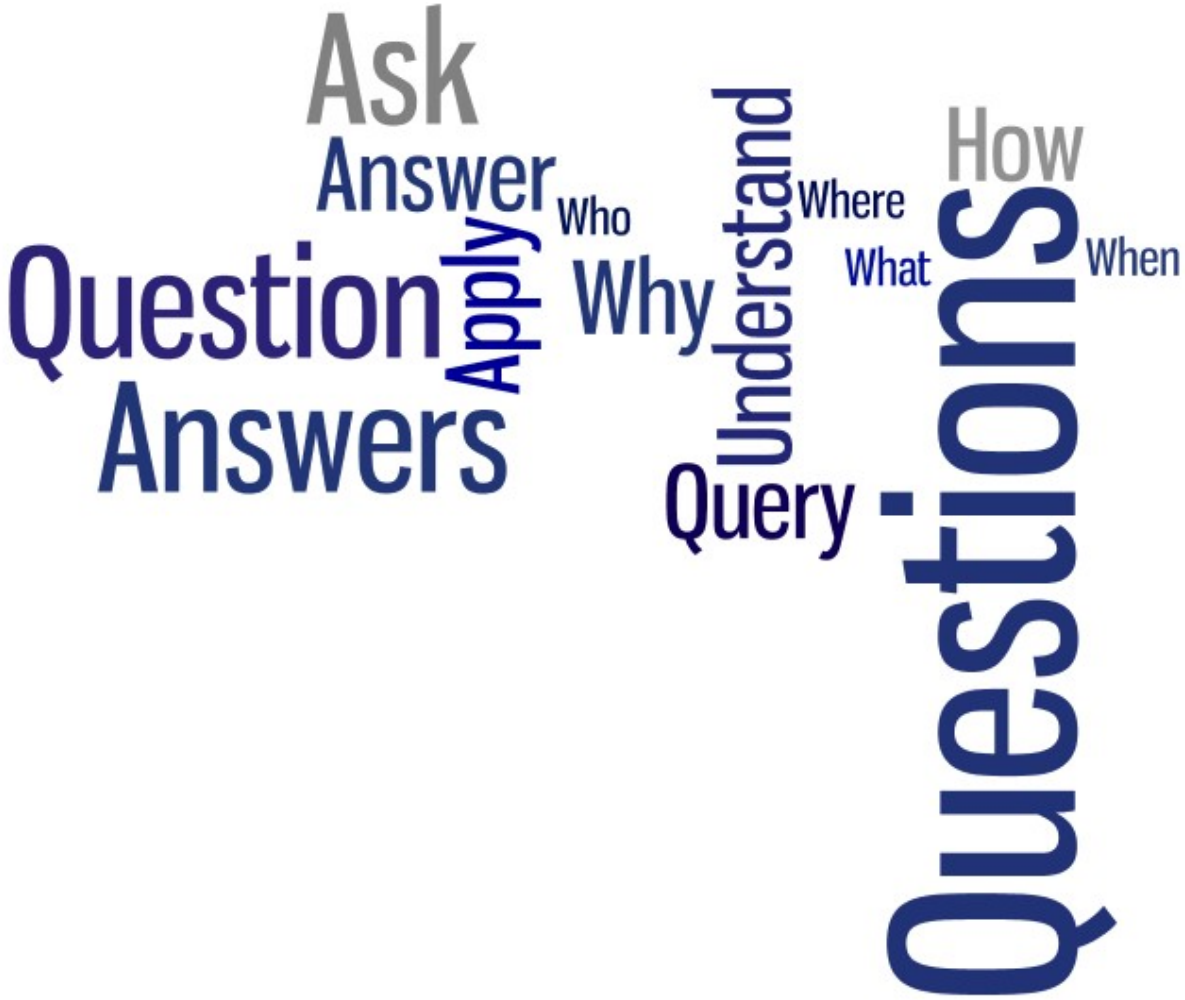
Requirements:

– ISQC 1 deals with firm wide quality control

– ISA 220 refers to the actual audit of FS's


Quality Control – ISQC 1 & ISA 220
Leadership
Ethical Requirements
Engagement Performance
Monitoring
Human Resources
Client Acceptance
ISQC 1
ISA 220
- Design policies to promote QC as an internal culture;
- CEO/Managing Partner to assume responsibility for this;
- Individual responsible for QC to have appropriate experience, ability & authority.
- Engagement partner (EP) to assume overall responsibility for QC on that engagement.
Implement policies and procedures to ensure firm complies with ethical requirements. E.g.
- Communication to all staff;
- Annual independence declarations;
- Specific procedures to rotate EP on listed entities;
- Staff training on ethical requirements
- EP to remain alert for indicators of non-compliance;
- To take appropriate action; and
- .ensure compliance with independence requirements on an engagement
Policies and procedures to ensure:
- Consistency of quality on all engagements;
- Criteria and Appointment of Engagement of QC reviewers;
- EP responsible for appropriate supervision, direction and performance of the audit;
- EP responsible for appropriate review procedures;
- EP to be satisfied that appropriate consultation has taken place where necessary;
- Engagement QC reviews:
  - Done for all listed entities
  - EP to discuss with QC reviewer
- Regular cyclical inspection of EPs;
- Independent staff to do monitoring;
- System to deal with complaints and non-conformities with QC
- Annual comm of monitoring results
- EP to consider the results of the firm monitoring results in terms of whether it might highlight deficiencies in the QC of the engagement.
Procedures to be satisfied that it has sufficient staff with required competencies and capabilities e.g. of policies;
- Staff training;
- Remuneration should be fair
- Promotion policies
Policies and procedures to evaluate:
- Competence and capabilities;
- Compliance with ethical requirements;
- Client investigation is done;

What Questions Do You Have?



Upcoming discussion

VBS report



Audit process

ISA 230 Audit Documentation

ISA230 – Audit documentation (Working papers)

What is it?

- **Usually referred to as audit working papers or just working papers.**
- **The documentation / electronic documentation that the auditor prepares that documents:**
  - All procedures performed and conclusions reached
  - Record of audit procedures performed
  - Audit evidence obtained…etc
  - Records to support the audit opinion.
  - Evidence that the audit was planned, performed and finalised in accordance with ISA's

AUDIT FILE STRUCTURE (EXAMPLE) – 60 DAYS (ISQC1) TO COMPILE *ADMIN* AFTER AUDIT

CURRENT SECTION (Current year's audit)

A. Trial Balance, GL, 2015 AFS

B. Pre-Engagement Activities

C. Planning (With subsections like Materiality working paper)

D. Completion

E. Property Plant and Equipment

E100 – Lead Schedule

E101 - Audit plan for Property Plant & Equipment

E102 – E300 – Audit procedures (Obtaining Audit evidence)

F. Trade Receivables

F100 – Lead Schedule

F101 - Audit plan for Trade Receivables

F102 – F300 – Audit procedures

PERMANENT SECTION (Permanent nature – Recurring audits)

1. Signed Engagement Letter, 2010 – 2014 Signed AFS ETC

MINIMUM REQUIREMENTS

Working papers should

1. **Have a heading (Client, Year-end, What information is contained in the working paper)**
2. **Be dated (for compiler and reviewer)**
3. **Identify compiler (and date prepared)**
4. **Identify reviewer (and date reviewed)**
5. **Identify the applicable information**
6. **Be cross referenced & have a UNIQUE working paper number**
7. **Contain a conclusion**

Client name:	ABC Limited	Year end	31 December 2016	WP E306
Prepared by	Kuda Ndou (Audit Assistant)		Date prepared	17/05/2017
Reviewed by	JB (Engagement Mgr)		Date reviewed	18/05/2017
Subject	PPE: Accuracy of Depreciation			

Objective: Recalculating the depreciation for the year for *accuracy*
Sample selection: See working paper C507
Audit procedure: Select all new vehicles from the asset register. Obtain the depreciation r
recalculate for accuracy of the amount recorded in TB.
Work performed:

Total cost of vehicles	500 000	✓
Depreciation rate	10%	®
Amount	50 000	∑
Amount according to TB	49 900	TB
Difference	100	Transferred to WP **D663** (Overs and unders)

Notes: Explanation of Tick Legends
∑ = Reperformed calculation
✓ = Agreed to invoices **(see working paper E305)**
® = Agreed to accounting policy and agreed to useful lifes of similiar vehicles.
TB = Agreed to Trial Balance **(WP A14)**

Experienced auditor, no connection with client should understand

Conclusion:

Sufficient, appropriate audit evidence has been obtained and it is concluded that depreciation in the TB is accurately calculated.